Comprehensive Legal and Tax Analysis: Treatment of Cryptocurrency Losses from Insolvent Platforms (Celsius Network and BlockFi) Under Polish Tax Jurisdiction

Executive Summary

The systemic deleveraging and subsequent collapse of centralized cryptocurrency lending and yield-generation platforms in 2022, prominently featuring the Celsius Network and BlockFi, introduced unprecedented complexities into the taxation and regulatory oversight of digital assets. This exhaustive research report delivers a definitive legal and tax analysis surrounding these insolvencies. The analysis is specifically tailored to the precise circumstances of an individual taxpayer who originally acquired and deposited these digital assets while operating as a tax resident of the Kingdom of Sweden, and who subsequently transitioned their primary center of vital interests, thereby establishing unlimited tax liability in the Republic of Poland.

The fundamental conclusion of this extensive legal analysis confirms that the Polish tax system approaches the taxation of virtual currencies through a highly idiosyncratic aggregate cost-pooling mechanism. This mechanism departs significantly from the traditional capital gains frameworks utilized for equities, bonds, or standard financial instruments across most Organization for Economic Co-operation and Development (OECD) jurisdictions. Under the Polish Personal Income Tax (PIT) Act, the statutory concept of a "capital loss" for digital assets is legally defined not as a discrete transactional failure, but rather as a mathematical surplus of aggregate acquisition costs over globally realized revenues within a strictly defined annual tax period.[1] Consequently, the Chapter 11 insolvency of a custodial platform does not autonomously trigger a distinct, deductible tax loss. Instead, the historical fiat acquisition costs of the locked, compromised, or annihilated assets remain firmly embedded within the taxpayer's global cost pool. This preservation of the cost basis is contingent upon the taxpayer satisfying exceptionally stringent evidentiary requirements and executing precise administrative procedures to import these foreign-incurred costs into the Polish jurisdiction.[3]

This report systematically dissects the statutory foundation for migrating historical cost bases across sovereign borders, the legal classification of initial deposits into yield-bearing custodial platforms, and the complex realization events triggered by Chapter 11 bankruptcy distributions. The latter includes the receipt of liquid cryptocurrencies, fiat disbursements, and the mandatory issuance of corporate equity in newly formed entities such as Ionic Digital Incorporated.[5] Furthermore, this analysis provides highly technical guidance on managing

First-In, First-Out (FIFO) ledger adjustments within third-party portfolio tracking software, resolving the inherent friction between strict lot-tracking algorithms and the Polish cost-pooling doctrine. Finally, the report outlines the rigorous documentary standards, including the necessity of sworn translations and blockchain forensic matching, mandated by the Polish National Revenue Administration (Krajowa Administracja Skarbowa, or KAS) to secure the taxpayer's fiscal position during potential audit proceedings.

Introduction and Macroeconomic Context of the 2022 Digital Asset Contagion

The mid-2022 macroeconomic environment, characterized by aggressive monetary tightening by global central banks, triggered a profound liquidity crisis within the digital asset ecosystem. This systemic contagion resulted in the catastrophic insolvency of several premier custodial and lending platforms, effectively freezing tens of billions of dollars in retail and institutional capital globally.

The Celsius Network, once a dominant entity in the crypto-lending sector managing over twenty billion dollars in assets, initiated a total cessation of all customer withdrawals, swaps, and account transfers on June 12, 2022, citing extreme market conditions.[7] This operational freeze was the precursor to a formal Chapter 11 bankruptcy protection filing in the United States Bankruptcy Court for the Southern District of New York in July 2022.[7] This collapse precipitated a cascading failure across the industry, fatally compromising BlockFi, a major competitor heavily entangled in the ensuing credit crisis. BlockFi similarly halted platform operations in late 2022 and sought Chapter 11 bankruptcy protection in November 2022.[9]

For the specific taxpayer at the center of this analysis, significant capital was deployed into both platforms prior to the suspension of operations. Verified blockchain forensic data and provided wallet documentation indicate substantial asset flows originating from decentralized, self-custodial infrastructure and tertiary cryptocurrency exchanges into specific deposit addresses managed by these insolvent entities. The documented asset flows include:

- Bitcoin (BTC) deposited into Celsius infrastructure at the address: bc1qvvreqkvs03l86eheelqs8j3wvy6mx2ul0rjz7r
- Polkadot (DOT) deposited into Celsius infrastructure at the addresses: 12cH7rXQPZkwy5KbbNvGqgnmS75CSn1EUjrHno6ymBP9KYUq and 15iv67DkPLWdBpFSWz1tzsJfjpz5mgr46sDBpaD6j4zNYyDF
- Bitcoin (BTC) deposited into BlockFi infrastructure at the address: 3GV34TNcQUS53MimCWd8rMjKLxJF3C6Qoj

At the precise chronological moments when these deposits were executed, and subsequently when the assets were legally frozen by the imposition of the automatic stay under the U.S. Bankruptcy Code, the taxpayer was legally domiciled under the tax jurisdiction of the Kingdom of Sweden. The Swedish tax authority, Skatteverket, administers a highly conventional capital gains tax regime for digital assets. Under the Swedish framework, Bitcoin and other virtual currencies are classified as "other assets" (andra tillgångar) under the general rules on capital

gains.[10] This regime is characterized by a definitive thirty percent (30%) flat tax rate on realized profits, calculated individually for each sale or transfer.[10] Conversely, the Swedish system incorporates a symmetrical deduction mechanism, permitting taxpayers to offset up to seventy percent (70%) of realized cryptocurrency losses against other capital gains, such as profits derived from the sale of traditional equities or real estate, provided the losses are declared in the K4 statutory form.[11] However, the Swedish system strictly prohibits the carrying forward of crypto losses to subsequent tax years; losses must be utilized in the exact year they are incurred.[11]

Following the collapse of these platforms, the taxpayer relocated their primary center of vital interests to the Republic of Poland. This jurisdictional transition subjects the individual to the stringent provisions of the Polish Personal Income Tax (PIT) Act. This transition fundamentally alters the structural methodology required for calculating, reporting, and ultimately utilizing the original fiat acquisition costs associated with these currently encumbered and heavily impaired digital assets.[3]

Cross-Border Tax Residency and the Strategic Migration of Acquisition Costs

The transition from Swedish tax residency to Polish tax residency introduces a highly nuanced layer of administrative complexity regarding the recognition and utilization of historical acquisition expenditures. Understanding the legal basis for claiming these costs is paramount to answering whether losses or acquisition expenses incurred abroad can be recognized under Polish law.

Under Article 3, Paragraph 1 of the Polish Personal Income Tax Act, an individual establishing residency in Poland—defined either by physical presence exceeding 183 days in a tax year or by establishing a center of personal or economic interests within Polish territory—becomes subject to unlimited tax liability. This unlimited liability encompasses global income, irrespective of the geographic origin of the revenues or the location of the assets generating said revenues. A critical jurisprudential inquiry thus arises: Does the Polish tax authority (KAS) permit the deduction of acquisition costs for digital assets that were purchased with fiat currency while the taxpayer was legally under the fiscal sovereignty of another nation (Sweden)?

The Statutory Admissibility of Historical Foreign Costs

According to established administrative jurisprudence and numerous individual tax interpretations (interpretacje indywidualne) issued by the Director of the National Tax Information (Dyrektor Krajowej Informacji Skarbowej, or KIS), the Polish tax system explicitly permits the recognition of historical acquisition costs incurred prior to the establishment of Polish tax residency.[3] The fundamental legal premise underpinning this allowance is that the taxable realization event—the generation of taxable revenue via the sale or exchange of the asset—occurs under Polish jurisdiction. Because Poland intends to tax the gross revenue generated, the foundational principles of income taxation dictate that the costs directly

associated with acquiring the asset generating that revenue must be mathematically recognized to calculate an accurate, equitable tax base. To deny the historical cost basis would equate to taxing revenue rather than income, a violation of the core tenets of the PIT Act.

However, while the theoretical admissibility of foreign-incurred costs is established, the mechanical implementation within the Polish mechanism for recognizing cryptocurrency costs is aggressively and strictly temporal. Article 22, Paragraph 14 of the PIT Act mandates that the costs of acquiring virtual currencies are recognized as tax-deductible expenses strictly in the tax year in which they were definitively incurred.[1] The law explicitly states that this recognition must occur regardless of whether any corresponding revenue was realized in that same calendar year. If the recognized costs exceed the realized revenues in a given year, the statutory framework dictates that the mathematical surplus is carried forward to the subsequent tax year, continuously rolling forward until it is entirely absorbed by future revenues.[1]

The Administrative Imperative of Retroactive Statutory Filing

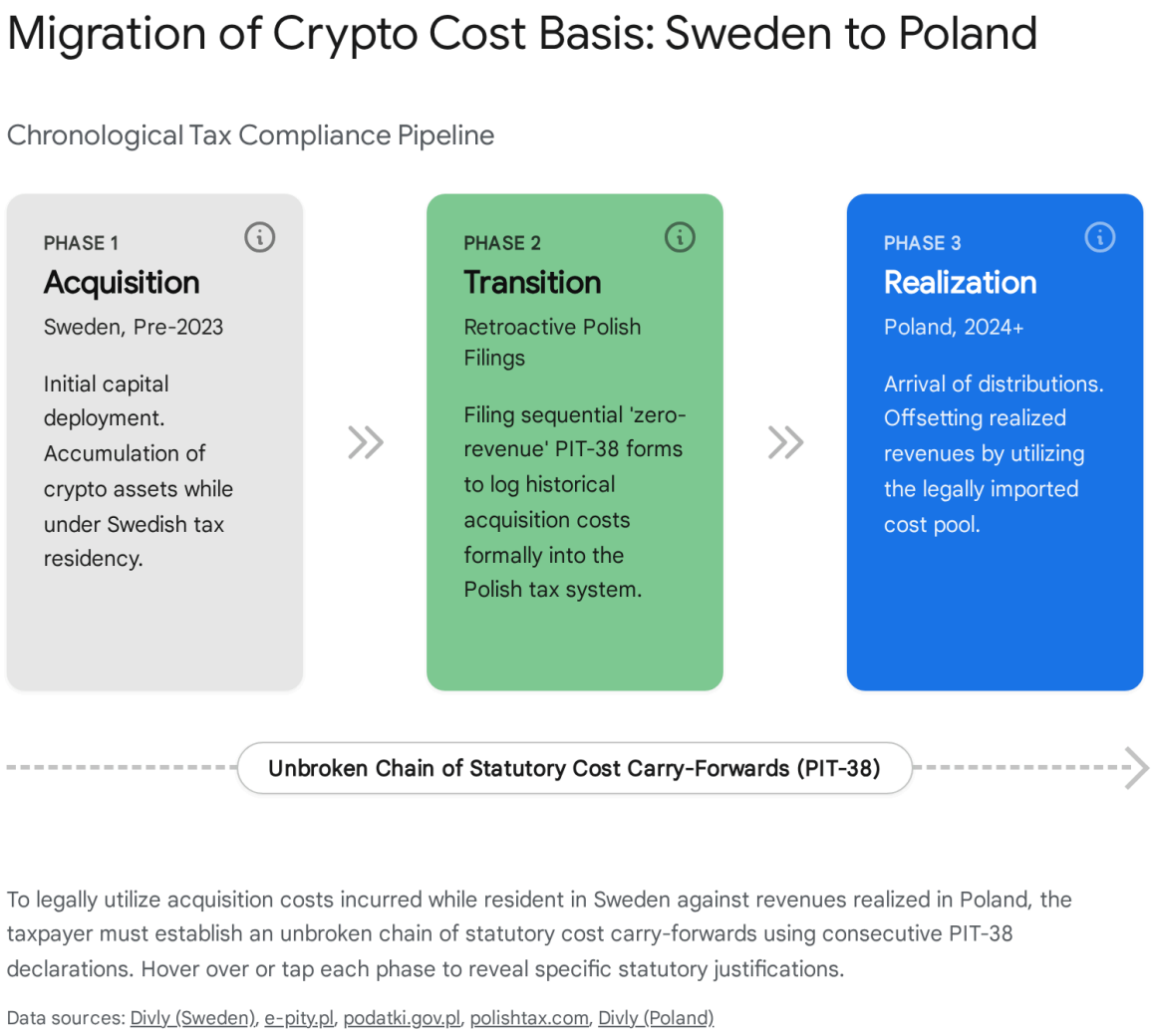
This temporal strictness creates a profound administrative paradox for the relocating expatriate. Because the taxpayer acquired the deposited Bitcoin and Polkadot in calendar years prior to the establishment of their Polish residency (presumably during the bull markets of 2021 or early 2022), these acquisition costs should theoretically have been reported on a Polish PIT-38 statutory form for those respective historical years. Given that the individual was exclusively a resident of Sweden during that period, and entirely outside the purview of the Polish fiscal apparatus, no such Polish filings were executed.

To legally and safely integrate these historical fiat costs into the current Polish tax ecosystem—thereby shielding future bankruptcy recoveries or distinct cryptocurrency revenues from excessive taxation—the taxpayer faces a rigorous procedural requirement. The prevailing interpretation by leading Polish tax advisors and legal practitioners necessitates the submission of voluntary, retroactive PIT-38 declarations for the specific historical years in which the fiat-to-crypto purchases occurred.[4]

These retroactive declarations would reflect zero revenue from virtual currencies (as no taxable disposals occurred within Polish jurisdiction during those years) but would comprehensively detail the fiat capital deployed to acquire the assets in the "costs incurred" section. By formally filing these historical declarations, the taxpayer introduces the acquisition costs into the Polish administrative system. This action establishes a documented chronological trail, allowing the surplus cost pool to carry forward sequentially year-by-year into the current tax year, where it can be actively utilized to offset the revenues generated by the Celsius bankruptcy distributions or other portfolio liquidations.[2]

Failure to retroactively structure these costs significantly elevates the risk of assessment during a future audit. A strict interpretation by a regional tax inspector could conclude that because the costs were not formally declared in the year they were incurred, the right to carry them forward has been forfeited.[4] Such an adverse ruling would effectively result in the KAS taxing the entire gross value of any future recovery or sale at the nineteen percent (19%) flat rate,

completely disregarding the taxpayer's original capital outlay.



The Legal Architecture of "Losses" in Polish Cryptocurrency Taxation

A primary and complex inquiry articulated in the initial context involves determining whether losses emanating from the bankruptcy of a centralized platform can be explicitly claimed or formally deducted under Polish tax law. To resolve this definitively, one must fundamentally deconstruct the statutory definition of a "loss" within the Polish virtual currency legislative framework.

The Legislative Divergence from Traditional Capital Equities

In conventional, highly regulated financial markets, if a taxpayer purchases public equities and the underlying corporation subsequently becomes legally bankrupt, resulting in the shares being permanently delisted, canceled, and rendered fundamentally worthless, the taxpayer executes a definitive realization event. This is often achieved through a formal declaration of worthlessness or a negligible, nominal sale. This realization creates a definitive, transactional capital loss that can be strategically utilized to offset capital gains derived from other equities over a predefined statutory period. In Poland, for traditional equities, this period allows the offset of up to fifty percent (50%) of the loss per year over the subsequent five consecutive tax years, or a one-time deduction of up to 5,000,000 PLN in a single year within that five-year window.[14]

Cryptocurrencies, however, were explicitly carved out of this traditional framework by comprehensive legislative amendments that became effective on January 1, 2019.[15] Under current Polish legislation, revenues and costs related to digital assets technically belong to the broader fiscal category of "monetary capitals" (kapitały pieniężne), alongside stocks and bonds. However, they are hermetically sealed within their own sub-category. A taxpayer is strictly prohibited from offsetting cryptocurrency acquisition costs against traditional stock market profits, nor can traditional equity losses be utilized to shield cryptocurrency revenues.[2]

More profoundly, the concept of a definitive, isolated "transactional loss"—where a specific asset is sold for less than its specific purchase price, generating a discrete negative integer to be reported—does not exist in Polish cryptocurrency taxation.[18] Instead, the system operates entirely on a perpetual, aggregate cost-pooling mechanism.

As codified in Article 22, Paragraphs 14 through 16 of the PIT Act, all documented fiat expenditures made to acquire digital assets, regardless of the specific token type, are pooled together into a single, cumulative ledger in the year they are incurred.[1] When a taxpayer executes a taxable realization event—such as selling Bitcoin for Polish Zloty (PLN) or exchanging Ethereum for a tangible good or service—the entire accumulated pool of historical acquisition costs is deducted from that specific revenue event.[2] If the cumulative pool of costs exceeds the gross revenue generated in that calendar year, no net income is recognized, no tax liability is generated, and the mathematical surplus of the cost pool is carried forward indefinitely to the next sequential tax year.[1]

Why Platform Bankruptcy Does Not Trigger a Statutory Tax Loss

Applying this legal architecture to the Celsius Network and BlockFi collapses yields a conclusion that is counterintuitive to traditional accounting but highly beneficial for the compliant taxpayer. The actual event of the platforms declaring Chapter 11 bankruptcy in July and November 2022, respectively, is entirely a non-event from a Polish tax realization perspective.[21]

Furthermore, the cessation of withdrawals, the freezing of accounts, or even formal court declarations regarding the unrecoverable status of certain asset tiers do not constitute taxable disposals. The Polish system requires a definitive exchange of virtual currency for legal tender,

goods, services, or other property rights to trigger a realization.[15]

Because the Polish system aggregates costs upon the precise moment of acquisition, the fiat capital the taxpayer originally deployed in Sweden to purchase the Bitcoin and Polkadot was theoretically injected into their global cost pool at the very time of purchase. The tragic reality that the assets were subsequently locked, compromised, misappropriated, or partially annihilated by corporate mismanagement and insolvency does not automatically erase those foundational acquisition costs from the taxpayer's historical, global ledger.

However, the retention of these costs relies on demonstrating compliance with a critical, overarching doctrine of Polish tax law: the preservation of the teleological link. The Polish tax authority mandates that an expense can only be classified and retained as a tax-deductible cost if it was genuinely incurred with the deliberate, demonstrable intention of generating, securing, or preserving a source of revenue.[18] In isolated cases of outright theft (e.g., a hacker breaching a personal hardware wallet) or individual user error (e.g., accidentally transmitting funds to an irrecoverable burn address), aggressive tax auditors have previously attempted to argue that the lost asset has irrevocably lost its capacity to generate revenue, and therefore its original acquisition cost must be excised from the aggregate pool, as it no longer serves the statutory purpose.

The insolvency of massive, commercial entities like Celsius and BlockFi, however, differs fundamentally from personal operational errors or isolated thefts. The assets were intentionally deposited into commercial, yield-generating financial products governed by complex terms of service with incorporated entities. The capital was deployed precisely to generate continuous revenue (yield). While the platforms ultimately failed catastrophically, the original acquisition of the asset and its subsequent deployment were undeniably, provably revenue-driven activities. Furthermore, because Chapter 11 bankruptcy proceedings resulting in partial fiat or equity distributions demonstrate that the original capital still possessed the capacity to generate some form of recoverable value, the KAS is highly unlikely to possess the legal grounds to mandate the removal of the original acquisition costs from the taxpayer's aggregate pool.[22]

Consequently, the taxpayer effectively retains the profound tax benefit of the entire original fiat acquisition cost. They can utilize this massive, historical cost basis to indefinitely shield future cryptocurrency revenues, even though the physical digital assets themselves have been partially or wholly destroyed by the bankruptcies.

Trigger Events: Deposit Classifications vs. Realization Mechanisms

To accurately document the taxpayer's history and ensure bulletproof compliance, it is imperative to map the specific chain of events against the strict Polish definition of a taxable disposal, addressing Questions 2 and 3 of the original query.

The Act of Depositing into Custodial Infrastructure

The taxpayer transferred Bitcoin and Polkadot from self-custody hardware wallets to the

defined Celsius addresses (bc1qvvreqkvs03l86eheelqs8j3wvy6mx2ul0rjz7r, 12cH7rXQPZkwy5KbbNvGqgnmS75CSn1EUjrHno6ymBP9KYUq, 15iv67DkPLWdBpFSWz1tzsJfjpz5mgr46sDBpaD6j4zNYyDF) and the BlockFi address (3GV34TNcQUS53MimCWd8rMjKLxJF3C6Qoj).

Under Polish tax law, the mere transfer of virtual currency between wallets owned by the same taxpayer, or the direct exchange of one virtual currency for another virtual currency (crypto-to-crypto trading), is entirely tax-neutral.[19]

This neutrality holds absolute, regardless of the underlying civil law characteristics of the platform deposit. Even though the notoriously complex terms of service for platforms like Celsius explicitly transferred the legal title of the deposited assets to the company—thereby legally transforming the depositors from owners of bailed property into unsecured creditors of the corporation—the Polish tax code heavily prioritizes the economic substance of the virtual currency framework over strict civil law title analysis. The deposit of Bitcoin into a yield-bearing Celsius Earn account is not construed by the KAS as an exchange of cryptocurrency for a fiat equivalent, a tangible good, or a distinct, external property right.[15] Therefore, the act of depositing the funds in 2021 or 2022 was definitively not a taxable disposal, and no tax liability was triggered at the time the transfers were executed.

Realization Events within the Bankruptcy Recovery Waterfall

The critical tax implications, and the actual realization events, emerge exclusively during the bankruptcy resolution and distribution phase. On November 9, 2023, the Celsius reorganization plan was confirmed by the bankruptcy court, and the plan officially became effective on January 31, 2024, initiating the long-awaited distributions to unsecured creditors.[6] The BlockFi bankruptcy similarly finalized its initial recovery phases and authorized distributions throughout 2024.[9]

The diverse distributions received by the taxpayer dictate distinct and heavily disparate Polish tax treatments based on the specific asset class recovered from the estates.

1. The Return of Liquid Cryptocurrency (In-Kind Distributions) The Chapter 11 reorganization plans for both entities heavily featured the return of fractional amounts of liquid cryptocurrency to satisfy claims. Celsius, for instance, committed to a recovery structure where a significant percentage of the total dollarized claim value was satisfied via in-kind distributions of newly purchased or retained Bitcoin and Ethereum. Specifically, 28.95% of the recovery allocation was paid in BTC, and an equal 28.95% was paid in ETH.[5]

From the strict perspective of the Polish National Revenue Administration, receiving Bitcoin or Ethereum as a partial settlement for a lost cryptocurrency deposit is fundamentally viewed as a continuation of the tax-neutral crypto-to-crypto paradigm.[19] The receipt of these recovered digital assets is entirely non-taxable at the moment of receipt. It does not trigger an immediate revenue recognition obligation on the PIT-38 form, nor does it immediately alter or deplete the aggregate cost pool. The taxable realization event is deferred indefinitely until the taxpayer actively decides to liquidate the recovered Bitcoin or Ethereum into a fiat currency, or utilizes it

for commercial purchases.[22]

2. The Receipt of Fiat Currency Distributions In specific instances where the bankruptcy estate liquidated illiquid assets, alternative altcoins, or portfolio remnants that could not be distributed in-kind, creditors received direct fiat distributions (e.g., US Dollars transferred via platform channels or secondary distribution agents like PayPal or Venmo).[5]

The receipt of fiat currency unequivocally constitutes a taxable realization event under Polish law.[15] The exact fiat amount received must be converted into Polish Zloty (PLN) using the official average exchange rate published by the National Bank of Poland (Narodowy Bank Polski - NBP) on the business day immediately preceding the receipt of the funds.[13] This calculated PLN value must be explicitly declared as revenue in the virtual currency section of the PIT-38 form for the corresponding tax year in which the funds were received.[2]

3. The Corporate Equity Spin-Off: Ionic Digital Incorporated Stock The most complex and perilous realization event introduced by the Celsius bankruptcy resolution is the mandatory distribution of common equity in a newly formed Bitcoin mining entity. Under the approved reorganization plan, 14.9 percent of the total creditor recovery was satisfied through the issuance of stock in Ionic Digital Incorporated, managed by Hut 8 Corp.[5]

This distribution represents a definitive, absolute rupture in the crypto-to-crypto neutrality chain. The taxpayer effectively exchanged a portion of their virtual currency claim for traditional corporate equity. Article 17, Paragraph 1, Point 11 of the Polish PIT Act clearly and unambiguously classifies the exchange of virtual currency for "other property rights" (inne prawa majątkowe)—which definitively includes traditional corporate shares and securities—as a taxable disposal of the virtual currency.[15]

Consequently, the exact moment the taxpayer took legal possession of the Ionic Digital shares (typically the effective date of the distribution or the date the shares were logged in the transfer agent's ledger), a highly taxable event occurred in Poland. The taxpayer is legally obligated to determine the Fair Market Value (FMV) of the allocated Ionic Digital shares on that specific date of receipt.[25] Even though the Ionic shares currently remain entirely untradable, illiquid, and lack a public market listing as the company navigates regulatory hurdles [26], the Polish tax authority views the acquisition of the equity as a realized economic benefit.

The FMV of the shares, converted to PLN using the appropriate NBP exchange rate, must be aggressively reported as revenue derived from the sale of virtual currencies on the PIT-38 form.[15] Crucially, this event creates a new, separate cost basis for the Ionic Digital stock itself. When the taxpayer eventually sells the Ionic Digital shares on a traditional brokerage market in the future, that subsequent transaction will be subject to the standard 19% capital gains tax regime, utilizing the original recognized revenue value as the foundational cost basis for the equity sale.[27]

Tax Taxonomy of the Celsius Bankruptcy Distribution

Component Breakdown Matrix

Asset Class	Recovery Allocation (%)	Realization Status in Poland	Required Action on PIT-38
Liquid Crypto (BTC)	28.95%	Tax Neutral	No immediate reporting required (Crypto-to-crypto exchange exemption applies).
Liquid Crypto (ETH)	28.95%	Tax Neutral	No immediate reporting required (Crypto-to-crypto exchange exemption applies).
Corporate Equity (Ionic Digital)	14.90%	Taxable Event	Declare as income from property rights. Subject to a 19% flat capital gains tax on PIT-38.
Fiat Recovery	6.40%	Taxable Event	Declare as fiat realization income. Subject to a 19% flat capital gains tax on PIT-38.

The recovery of funds from the Celsius estate triggers divergent tax obligations based strictly on the asset class distributed. The receipt of corporate equity represents the most acute compliance trap for Polish tax residents.

Data sources: Poland Accounting, Getsix, Koinly, Crypto Tax Audit, Reddit

Portfolio Management: Resolving FIFO Implications and Tracking Infrastructure

The intersection of grim blockchain reality and the highly theoretical constructs of Polish tax accounting creates significant friction when attempting to manage automated portfolio tracking software. Cryptocurrency tax engines (such as Koinly, CoinTracker, or local Polish equivalents) typically rely on rigorous First-In, First-Out (FIFO) algorithms or specific identification lot tracking to calculate capital gains.[8] The taxpayer's explicit questions regarding whether to remove the lost BTC lots from the tracker, keep them at zero value, or retain them in

the active queue highlight a profound methodological challenge.

The Polish Aggregate Pool Theory vs. Specific Lot Tracking

From a strict mathematical and statutory perspective regarding the preparation of the Polish PIT-38, granular FIFO lot tracking is somewhat anachronistic and unnecessary for calculating the tax base. As previously established in extensive detail, the Polish system relies on a continuous, aggregate pool of historical fiat costs.[1] The tax authority does not mandate that the sale of 0.5 BTC today must be explicitly mapped to the exact fiat cost of a specific 0.5 BTC lot purchased three years ago. Instead, the gross revenue from the 0.5 BTC sale is simply offset against the total available balance of documented acquisition costs spanning the entire, aggregated portfolio.

Therefore, from a macroscopic regulatory standpoint, the taxpayer should treat the fiat capital spent on the crypto sent to Celsius and BlockFi as fundamentally retained within the global cost pool. The fiat capital expended to acquire those lost assets remains a perfectly valid, utilizable deduction against any future cryptocurrency revenues.

Practical Adjustments within Third-Party Tracking Infrastructure

However, to maintain sanity within third-party portfolio tracking software and prevent compounding errors, practical adjustments must be executed. Failure to adjust the tracker will result in the software generating phantom gains, miscalculating total portfolio value, or continuously treating the lost, bankrupt assets as liquid inventory ready for sale.

Total Loss Scenarios: If a specific deposit—for example, the Polkadot (DOT) sent to the Celsius wallets (12cH7rXQPZkwy5KbbNvGqgnmS75CSn1EUjrHno6ymBP9KYUq)—is deemed entirely unrecoverable with absolutely zero partial distribution expected from the bankruptcy estate, the most compliant method within a software tracker is to execute a manual "Lost/Stolen" or "Write-off" transaction tag. In many automated systems, applying this tag simply removes the asset quantity from the current inventory ledger without triggering a taxable capital gain.[28]

Critically, however, the taxpayer must carefully audit the software's output to ensure that the underlying reporting engine does not simultaneously erase the historical fiat acquisition cost of those lots from the generated Polish tax report. The digital asset quantity is zeroed to reflect physical reality, but the historical fiat cost must remain fiercely guarded within the cumulative tax-deductible pool for the PIT-38.

Partial Recovery Scenarios: In scenarios where a partial recovery occurs—such as receiving a thirty percent (30%) fractional return of the original Bitcoin deposited into BlockFi [9]—the tracking software must be carefully manipulated. The taxpayer should absolutely not register the incoming bankruptcy distribution as a newly acquired asset with a zero-cost basis or current market value cost basis. Doing so would effectively duplicate the asset in the system if the original locked deposit is still lingering unchanged in the software's historical ledger.

The mathematically precise method involves isolating the specific tax lots deposited into the bankrupt entity. If the taxpayer deposited 1.0 BTC into BlockFi, and the final, exhaustive

distribution equates to exactly 0.3 BTC, the remaining 0.7 BTC is permanently unrecoverable. The software must be commanded to execute a non-taxable write-off or permanent disposal tag exclusively on the 0.7 BTC. The surviving 0.3 BTC simply continues its existence in the FIFO queue, carrying its proportional historical timestamp and original cost density.

Again, the overriding Polish imperative remains dominant: the fiat cost basis of the annihilated 0.7 BTC is not surrendered. It must be manually verified to remain resident in the aggregated cost pool to offset the eventual sale of the surviving 0.3 BTC, or the sale of entirely unrelated crypto assets within the portfolio. By categorizing the unrecovered crypto as consumed or permanently lost within the software interface, the taxpayer aligns their digital inventory with harsh reality, while relying on the Polish tax code's aggregate cost mechanism to preserve the financial benefit of the original investment.

Scenario	**Software Action Required**	**Polish Tax Implication**
Total Loss (No Recovery Expected)	Tag entire deposit as "Lost/Stolen" to remove from active inventory.	No taxable event. Entire fiat acquisition cost remains in the global carry-forward pool.
Partial In-Kind Recovery (e.g., 30% BTC returned)	Tag the unrecovered 70% as "Lost/Stolen". Maintain the 30% in the standard FIFO queue.	No taxable event upon receipt. Fiat acquisition cost of the lost 70% remains in the global carry-forward pool.
Fiat or Equity Recovery	Tag original crypto lot as "Exchanged". Input the Fiat/Equity value as the proceed.	Taxable realization event. Revenue must be declared, but is offset by the global cost pool.

Statutory Execution: Navigating the PIT-38 Declaration

The final phase of integrating these bankruptcy complexities involves the rigorous documentation and statutory execution required by the Polish National Revenue Administration (KAS), directly addressing Question 9.

The mechanical translation of these chaotic events onto the Polish tax return centers entirely

on the PIT-38 declaration, which is the statutory form designed to encompass revenues and costs related to capital investments, financial instruments, and virtual currencies.[2]

The virtual currency reporting is strictly confined to Section E of the PIT-38 form.[16] The taxpayer must execute the following precise entries for the tax year in which the realization events—such as the receipt of Ionic Stock or Fiat from the bankruptcy estates—occurred:

1. **Revenue Recognition (Przychody z odpłatnego zbycia walut wirtualnych):** In the designated revenue field for the disposal of virtual currencies, the taxpayer must sum the PLN equivalent of the Fair Market Value of the received Ionic Digital stock and the PLN equivalent of any fiat distributions received from the estates.[6] This represents the total gross taxable event generated by the bankruptcy resolutions.
2. **Current Year Costs (Koszty uzyskania przychodów poniesione w roku podatkowym):** If the taxpayer executed any fresh fiat-to-crypto purchases during the current calendar year, the total fiat value of those purchases, alongside any direct transaction fees, are entered here.[1]
3. **Historical Carried-Forward Costs (Koszty z lat ubiegłych):** This is the paramount, critical field for this specific taxpayer. This field must house the cumulative total of all historical acquisition costs, including the entirety of the fiat capital deployed in Sweden to purchase the Bitcoin and Polkadot that were subsequently lost in the bankruptcies.[1] However, this entry is legally permissible and defensible *only* if these historical costs were properly declared in consecutive, unbroken PIT-38 filings leading up to the current year.[4]
4. **Net Income and Tax Liability (Dochód / Strata):** The electronic form automatically calculates the difference between the revenues and the pooled costs. If the massive historical pooled costs exceed the new, fractional revenues generated by the bankruptcy distributions, the mathematical result is zero taxable income. Consequently, there is zero tax liability at the nineteen percent (19%) rate, and a new, slightly reduced cost surplus is generated that seamlessly carries forward to the next tax year.[2]

Simulated PIT-38 Execution: Neutralizing Distribution Revenues

PIT-38

SECTION E: VIRTUAL CURRENCIES — TAX YEAR 2025

Line 1	Revenues from Disposal (Ionic Equity + Fiat)	15 000 PLN
Line 2	Costs from Previous Years (Historical Cost Pool)	100 000 PLN
Line 3	**Taxable Income** (Line 1 minus Line 2, floor of zero)	0 PLN
Line 4	Remaining Costs to Carry Forward to Next Year	85 000 PLN

By properly executing the carry-forward of historical acquisition costs (even for assets permanently trapped in insolvency), the taxpayer can fully absorb the taxable revenues generated by equity and fiat distributions, resulting in zero current-year tax liability.

Data sources: Poland Accounting, Ministerstwo Finansów, PITax.pl (Poradnik), Binance Square, PITax.pl (Rozliczenie).

Evidentiary Standards and Documentary Burden in Poland

The final frontier of navigating this crisis lies in preparing for the inevitable scrutiny of the Polish tax authorities. The Polish tax system operates on a strict, unrelenting documentary foundation. In the event of an audit or a standard verification procedure (czynności sprawdzające), the burden of proof rests entirely and overwhelmingly upon the taxpayer to substantiate the astronomical costs claimed in the aggregate pool.[31]

To successfully defend the retention of acquisition costs for the assets lost in Celsius and BlockFi, the taxpayer must assemble an unassailable evidentiary dossier. The implementation of the European Union's Directive on Administrative Cooperation (DAC8) starting in January 2026 mandates extensive data sharing regarding crypto assets, ensuring that tax authorities will have

unprecedented visibility into exchange histories and portfolio values, making this documentation critical.[3]

This defense dossier must systematically prove the entire lifecycle of the capital. It must include the original bank transfer records proving the deployment of fiat currency to an exchange. It must contain the corresponding exchange execution logs proving the precise purchase of the specific BTC and DOT lots. Crucially, it must include the specific blockchain withdrawal hashes proving the assets were dispatched from the taxpayer's control to the verified Celsius and BlockFi deposit addresses provided in the initial context (bc1qvvreqkvs03l86eheelqs8j3wvy6mx2ul0rjz7r, 3GV34TNcQUS53MimCWd8rMjKLxJF3C6Qoj, etc.).[2]

Furthermore, the taxpayer must meticulously document the ultimate fate of the assets to prove the teleological link and the reality of the insolvency. This involves extracting platform account statements (if the portals are still accessible) or preserving formal email communications and legal notices from the Stretto (Celsius) and Kroll (BlockFi) bankruptcy portals detailing the exact nature, percentage, and valuation of the claimant's recovery.

A specific, often overlooked jurisdictional nuance involves stringent language requirements. All official proceedings before Polish tax authorities, including the submission of evidence, must theoretically be conducted entirely in the Polish language. While some progressive or internationally focused tax inspectors may informally review English-language bank statements, the KAS retains the absolute statutory right to demand sworn translations (tłumaczenie przysięgłe) of any foreign-language evidentiary document.[33] Given the immense complexity, dense legal jargon, and sheer volume of United States Chapter 11 bankruptcy documentation, the taxpayer is strongly advised to pre-emptively commission a certified Polish sworn translator to prepare translations of the core bankruptcy distribution summaries and the final claim valuation notices. Attempting to defend high-value, complex tax positions using untranslated, highly technical foreign legal documents introduces a profound operational risk during an audit scenario, potentially leading to the total rejection of the evidence and the disallowance of the cost pool.[35]

Strategic Conclusion and Procedural Recommendations

The taxation of assets lost to collapsed custodial platforms like Celsius and BlockFi under Polish law demands a profound paradigm shift away from traditional capital loss mentalities prevalent in jurisdictions like Sweden. The Polish tax system does not recognize a discrete, claimable tax loss triggered by a corporate bankruptcy. Instead, it offers a robust, continuous, and highly advantageous cost-pooling architecture.

For the relocating taxpayer, the fiat capital deployed while a resident of Sweden is not erased by the insolvency of the platforms. Those historical expenditures remain exceptionally powerful tax deductions, provided they are retroactively documented and rigorously carried forward across statutory filing years. While the receipt of liquid cryptocurrency from the bankruptcy

estates remains a tax-neutral continuation of the investment cycle, the mandatory distributions of fiat currency and corporate equity (Ionic Digital) constitute immediate, taxable realization events. By leveraging the aggregate cost pool derived from the original investments, the taxpayer can mathematically neutralize these newly generated revenues, optimizing their fiscal outcome amidst the catastrophic failure of the centralized cryptocurrency lending ecosystem.

To secure this outcome, the taxpayer must immediately conduct a comprehensive audit of their historical filing status in Poland. If the original fiat acquisition costs have not been formally introduced into the Polish tax ecosystem via prior PIT-38 declarations, the taxpayer must urgently draft and submit retroactive PIT-38 corrections (korekty) for the applicable historical years.[4] Finally, given the extraordinary novelty of categorizing the Ionic Digital Incorporated stock distribution, the taxpayer should strongly consider securing an Individual Tax Interpretation (indywidualna interpretacja podatkowa) directly from the Director of the National Tax Information.[36] An official ruling detailing the exact timeline and asset flow provides binding legal protection against future recharacterization, securing the taxpayer's highly optimized position.

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